big winners and keep you away from sleepy stocks that go nowhere. If you like investing in utility stocks, with their limited upsides, then this book isn't for you.

This book will change the way you think about investing in stocks.

You will never look at the problem in quite the same way again. I hope it will energize and excite you about what's possible.

Before I get to the specifics of how to find 100-baggers, let me give you some context that helps frame the whole effort.

The story of this book begins in 2011. That year, I read remarks investor Chuck Akre made at a conference held that same year. (Akre is a great investor, and we will meet him again in the last chapter.) The title of his talk was "An Investor's Odyssey: The Search for Outstanding Investments."

Here is part of what he said:

> In 1972, I read a book that was reviewed in *Barron's* and this book was called *100 to 1 in the Stock Market* by Thomas Phelps.
> He represented an analysis of investments gaining 100 times one's starting price. Phelps was a Boston investment manager of no particular reputation, as far as I know, but he certainly was on to something, which he outlined in this book. Reading the book really helped me focus on the issue of compounding capital.
> Also, from Boston, you all know Peter Lynch, who often spoke about ten-baggers. Here was Phelps talking about 100-baggers, so what's the deal? Well Phelps laid out a series of examples where an investor would in fact have made 100 times his money. Further he laid out some of the characteristics, which would compound these investments.

I had never heard of the book. And I've read all the investment classics and many obscure ones. So, I quickly got hold of a copy and began to read.

It became one of my favorite investing books. In December of that year, I sat down and wrote the following story for readers of my newsletter. It serves as an introduction to Phelps and the ideas we'll explore more in this book.